The botched attempt to ‘reform’ three farm laws has ricocheted on the government. Some sections of farmers are now demanding a legally guaranteed MSP. This would, if granted, mean that the government could be sued by any farmer, or any trader in the name of the farmer, if his crop, good or bad, was not purchased by the government irrespective of the prevailing market price. The courts, not the best agency to decide such commercial matters, would get flooded by the suits. The farmers need to be convinced about what is in their larger economic and financial interest. Direct income support in place of MSP, larger than what gets delivered in the MSP system, should convince the farmers. The government has also to be firm in introducing these necessary reforms.

Initiate Major Transition of Labour Away from Agriculture

Currently worth $450 billion, agriculture in India does not need 50 per cent of the workforce, or 200 million agriculture farmers and workers, engaged in it. The world over, farmers and labour have migrated to non-agricultural jobs and enterprises as farms have also become mechanized and better organized. In India, this migration has been very slow. That said, there is increasing evidence that the younger generation is not interested in working in farms and India’s agriculture workers and farmers are rapidly ageing.

The government has traditionally pursued policies that are anti-migration. Programmes like MGNREGA, with their stated preference for providing 100-day jobs near homes and not where the public work is, slow this transition. Likewise, massive input subsidization and creation of micro-enterprises in myriad schemes like the Integrated Rural Development Programme (IRDP) and National Rural Livelihood Mission are all intended to provide some survival level of income support in addition to income from agriculture. The fact that the government ends up selling the foodgrains produced by farmers and agricultural labour to rural residents at